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recovery - Wildfire survivors question outlay of $2.5B in relief aid - State says funds are designated to reimburse feds for FEMA payouts

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Page: 1
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A coalition of fire survivors and community advocates on Thursday urged transparency and accountability for the spending of a $2.5 billion statewide wildfire relief package, which state officials said is being used to reimburse the federal government for Federal Emergency Management Agency payments.

The coalition, from Eaton Fire Residents United, A Resilient Tomorrow, National Day Laborer Organizing Network and L.A. Voice, pointed to the funding package introduced by Assemblymember Jesse Gabriel, D-Encino, and state Sen. Scott Weiner,

D-San Francisco, and signed by Gov. Gavin Newsom in January last year.

At the time, the effort was hailed by state leaders as a “clear commitment that we’ve got your back L.A.” after the Eaton and Palisades fires tore through the region on Jan. 7 of last year.

But over a year later, many local residents questioned how the money was spent, even as Newsom on Thursday proposed a revised budget proposal without a deficit for his last year of office, and laid out a $350 billion spending plan that includes little new spending but also avoids major cuts.

Adriana Bautista, a fire survivor and member of the Altadena Earthseed Community Land Trust, spoke on Thursday about her discussions with state officials while advocating for community acquisition funds back in June 2025.

“State officials told us that that money was no longer there. … In February of this year, we saw state records that proved there was around over $800 million available,” Bautista said. “Governor Newsom has been lying to our community and their office has not been taking the needs of direct relief that our community has been advocating for seriously enough.”

According to an L.A. wildfire response and recovery expenditure report updated by the California Department of Finance as of February, around $500 million had been allocated toward dozens of state agencies aiding in recovery, such as the Department of Toxic Substances Control and the Office of Emergency Services. The report listed remaining balances of more than $900 million in one control section and $1 billion in another.

In response to the survivors on Thursday, a statement from a spokesperson for the governor, said the $2.5 billion authorized in January 2025 was designated to cover the state’s share of FEMA reimbursements, which are drawn down over years as the federal government processes claims.

In Newsom’s May revised budget proposal, his administration outlined the creation of a $100 million fund to “help families rebuild when insurance and existing aid fall short.”

“The proposal will create a rebuilding fund to help homeowners of disasters secure construction loans, unlock access to low-interest loans and reduce borrowing costs to make rebuilding more affordable for fire survivors,” a fact sheet on the May revised budget said.

At the same time on Thursday, state officials also lamented the lack of an extended batch of federal aid for the wildfire recovery.

“While the federal government has abandoned survivors by refusing to pass desperately needed disaster supplemental funding, Governor Newsom has refused to wait,” read the statement from Newsom’s office. “California will continue to advocate for ongoing funding for the Los Angeles community and today is announcing an additional $100 million available to help close the financing gap for survivors rebuilding their homes. This adds additional relief to the Governor’s many efforts, including the CalAssist program which provides survivors with $100,000 of mortgage relief for a period of 1 year.”

Next week, Newsom will travel to Washington to personally demand that Congress deliver added federal disaster funding.

Still, when prompted Thursday to give messages to local leaders, co-founder of A Resilient Tomorrow Sam James discussed how “hope” for Newsom to devote a portion of the budget to survivors wasn’t enough.

“Hopes are the equivalent of thoughts and prayers, and this community needs a lot more than for … our elected officials that we put in power to give us their thoughts and prayers,” James said. “We need actual accountability, we need money, we need it now — and we’ve needed it for over a year and a half.”

Since the Eaton and Palisades fires destroyed more than 16,000 structures and killed 31 people in January of last year, the road to recovery has been long and difficult for the thousands impacted by displacement, insurance claim delays, mental health crises and overall financial insecurity.

Two in three Eaton and Palisades fire survivors are still facing displacement, according to a Department of Angels report released in April. The report cited 38% of surveyed survivors who have either already run out or will soon run out of temporary housing insurance coverage.

FEMA provided over $2 billion in emergency assistance to L.A. wildfire survivors, according to a press release.

The Department of Angels survey, however, reported that only 4% of survivors received FEMA assistance and 10% received Small Business Administration loans in the last six months.

On May 8, Newsom requested a 12-month extension to FEMA for the Individual and Households Program, which provides families funds for interim housing. FEMA’s aid is set to expire in two months, but if the request is approved, aid would extend into July 2027.

Marisol Espino, a disaster case manager with the Legacy Land Project, described losing her family home of 29 years and receiving only $770 of FEMA assistance.

“Families are struggling to afford food, gas, rent, school transportation and basic necessities because displacement added 20-plus miles to every part of daily life,” Espino said at Thursday’s press conference. “And as a disaster case manager, I can tell you, this is not rare. I see it every single day for the survivors that we serve. So, I cannot comprehend how disaster recovery funds were left unspent while our community is still suffering at this scale.”

The coalition called for oversight hearings, clarification from the Governor’s Office and California Department of Finance on the current status of the $2.5 billion disaster relief package, a financial audit and a public release of all expenditure ledgers and interagency transfers.

Heins is a correspondent and Scauzillo is a staff writer.

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